

SAMPLE DOCUMENT

AUDIT REPORT

Risk Audit

Enterprise Risk Assessment

FreshStack Burgers (fictional network) • National — 46 locations

Audit conducted 15–26 June 2026 • Report issued 30 June 2026 • Ref: MA-2026-RK-0034

Client (fictional)	FreshStack Burgers (fictional network)
Location	National — 46 locations
Audit type	Risk Audit
Audit conducted	15–26 June 2026
Report issued	30 June 2026 (48-hour turnaround)
Lead auditor	D. Lindqvist, Principal Consultant — Maintain Audits
Report reference	MA-2026-RK-0034
Distribution	Franchisor head office; franchisee principal — Commercial in confidence

SAMPLE DOCUMENT — all client details and findings are fictional, prepared to demonstrate Maintain Audits' reporting format.

SECTION 1 | EXECUTIVE SUMMARY

This enterprise risk audit assessed 14 risk categories across the FreshStack Burgers national network of 46 locations over an 11-day review period combining site visits, data analysis, and franchisor interviews. Six priority risks were identified across two criticality levels.

The two Critical findings define the risk picture. First: a single franchisee generating approximately 24% of network revenue is under financial stress, creating a concentration risk the network currently has no formal process to monitor or mitigate. Second: allergen handling is inconsistent across the network, with three confirmed near-misses in the preceding 12 months that the network's incident process did not formally register as allergen events. These two findings require action within 48 hours and 30 days respectively.

The four High and Medium findings — POS fleet end-of-support, single-source supply, wage compliance, and declining review sentiment — are all manageable with structured programs and clear ownership. The network has the capability to close all six risks; what has been missing is a formal risk register and a cadence for reviewing it.

Overall Result

Measure	Result
Risks assessed	14 categories assessed
Priority risks identified	6 (2 Critical, 2 High, 2 Medium)
Overall rating	High
Most urgent action due	Franchisee concentration risk review — RK-01 (within 48 hours)

Findings by Risk Rating

Rating	Count
Critical	2
High	2
Medium	2

SECTION 2 | SCOPE & METHODOLOGY

A structured enterprise risk review across 14 risk categories, combining financial data analysis, supply chain review, operational site visits, digital sentiment analysis, and compliance record review.

In Scope

- Financial risk — franchisee concentration, network-level cash flow, franchisor entity health
- Operational risk — supply chain resilience, staffing and wage compliance
- Brand and reputational risk — customer sentiment, social media, review trajectory
- Compliance risk — food safety, allergen management, employment law
- Technology risk — POS and systems currency, data security posture
- Strategic risk — competitive positioning, network growth pipeline

How the Audit Was Conducted

- Financial data review: franchisee P&L submissions, network royalty data, accounts receivable aging
- Supply chain interviews: primary suppliers for top 10 menu SKUs; logistics review
- Regulatory review: Fair Work compliance data, food safety incident register
- Technology review: POS fleet census, software version audit, security posture check
- Digital analysis: Google, social, and delivery-platform review data for all 46 locations
- On-site visits at 8 locations (selected by financial performance and geographic spread)

Risk Rating Scale

Rating	Meaning	Action required
Critical	Immediate threat to safety, legal compliance, or brand integrity.	Within 48 hours
High	Material non-compliance likely to cause customer, safety, or financial impact.	Within 7 days
Medium	Non-compliance with franchise standards; manageable if addressed promptly.	Within 30 days
Low	Minor deviation or housekeeping issue.	Within 90 days
Observation	Not a non-compliance; an improvement opportunity worth acting on.	At next review

SECTION 3 | FINDINGS SUMMARY

ID	Area	Finding	Rating
RK-01	Financial risk	Single franchisee at ~24% of network revenue is under financial stress	Critical
RK-02	Compliance risk	Inconsistent allergen handling — 3 near-misses not formally registered	Critical
RK-03	Technology risk	POS fleet: 31% of devices on end-of-support software	High
RK-04	Operational risk	Single-source supplier for hero bun — no approved alternate	High
RK-05	Compliance risk	Wage compliance — 4 of 8 visited sites had incomplete time records	Medium
RK-06	Brand risk	Review sentiment declining across the network for 3	Medium

consecutive quarters

SECTION 4 | DETAILED FINDINGS

CRITICAL

RK-01 — Single franchisee at ~24% of network revenue is under financial stress

Rating	Area	Standard / reference	Remediate by
Critical	Financial risk	Franchise Agreement cl. 12; network risk policy	Within 48 hours

What we found: One franchisee operating 11 of 46 network locations — contributing approximately 24% of total royalty revenue — is carrying a debt position that, based on submitted financials, gives it less than 8 weeks of operating runway at current burn. This franchisee's distress is not widely known within the network. If this entity enters administration, the impact on the franchisor's revenue, supply chain commitments, and brand would be material.

Evidence: Franchisee P&L submissions (June 2026); accounts receivable aging report; site visit observations at two of the franchisee's locations.

Recommended action: Within 48 hours: convene an urgent meeting with the franchisee principal and the franchisor's legal and financial advisors to understand the full position. Assess whether intervention, restructure, or managed transition is the appropriate response. Do not allow this risk to continue without active management. In parallel, establish a formal franchisee financial health monitoring framework so concentration risk of this magnitude is identified earlier.

Responsible: Franchisor CEO / legal counsel

CRITICAL

RK-02 — Inconsistent allergen handling — 3 near-misses not formally registered

Rating	Area	Standard / reference	Remediate by
Critical	Compliance risk	Food Standards Code; FA cl. 7.3; network food safety std	Within 30 days (matrix); 48 hrs (process fix)

What we found: Allergen management practice varied significantly across the 8 visited sites — from excellent (dedicated equipment, staff briefing, allergy register) to inadequate (no separate utensils, no verbal confirmation protocol). Review of the incident register identified three customer complaints in the preceding 12 months that described potential allergen exposure; none were classified as allergen incidents in the register. A serious allergen event carries legal, regulatory, and reputational consequences the network cannot absorb.

Evidence: Site observations at 8 locations; incident register review; customer complaint file.

Recommended action: Within 48 hours: implement an interim allergen-incident classification protocol and brief all store managers. Within 30 days: complete an allergen compliance audit at all 46 locations using the updated matrix (to be developed by the food safety team). Establish mandatory allergen training as part of new-staff onboarding. The three unregistered near-misses should be reviewed with legal counsel to assess notification obligations.

Responsible: Network food safety manager / franchisee principals

HIGH

RK-03 — POS fleet: 31% of devices on end-of-support software

Rating	Area	Standard / reference	Remediate by
High	Technology risk	Network technology std; PCI-DSS requirements	Within 30 days (remediation plan)

What we found: 14 of 46 locations are running POS software versions that reached end-of-support in December 2025 — meaning no security patches are being issued for these devices. These devices process customer payment card data. Running unsupported POS software is a PCI-DSS compliance breach and creates exposure to payment fraud and data theft.

Evidence: POS fleet census conducted remotely with the network's technology provider; software version report.

Recommended action: Within 30 days: present a remediation plan for the POS fleet upgrade to the franchisor board, with funding model and timeline. The upgrade can be sequenced by risk — prioritising the highest-volume locations — but must be complete within 12 months. The technology provider has indicated bulk pricing is available at network scale.

Responsible: Network technology manager / franchisee principals

HIGH

RK-04 — Single-source supplier for hero bun — no approved alternate

Rating	Area	Standard / reference	Remediate by
High	Operational risk	Network supply chain policy s.3	Within 60 days

What we found: The network's hero burger bun — used in the top 3 revenue SKUs — is sourced exclusively from a single national bakery supplier. No alternate supplier has been qualified. A supply disruption (industrial action, recall, logistics failure) would immediately affect the ability to sell the network's primary products. This risk materialised briefly in February 2026 when a 3-day production delay caused short supply at 12 locations; no contingency was available.

Evidence: Supply chain interviews; procurement records; February 2026 supply incident report.

Recommended action: Within 60 days: identify and commence qualification of at least one alternate bun supplier capable of supplying at network scale within 48 hours of activation. The qualification process should include product match (spec, size, cost), logistics capability, and a test order. Maintain a minimum 5-day buffer stock policy at network level.

Responsible: Network supply chain manager

MEDIUM

RK-05 — Wage compliance — 4 of 8 visited sites had incomplete time records

Rating	Area	Standard / reference	Remediate by
Medium	Compliance risk	Fair Work Act; Fast Food Industry Award	Within 30 days

What we found: At 4 of 8 visited sites, employee time records were either incomplete (missing break records or clock-out times) or stored in a format not reconcilable with the rostering system. Fair Work investigations in the QSR sector have increased significantly in 2025–26; inadequate records make underpayment claims effectively impossible to defend.

Evidence: Time record review at visited sites; roster system audit.

Recommended action: Within 30 days: issue a wage compliance directive to all franchisees requiring time records to be complete, digital, and reconcilable with payroll for a minimum of 7 years. Conduct a self-audit process across all 46 locations using the Fair Work self-assessment tool. Consider engaging a specialist payroll auditor for the highest-risk locations.

Responsible: Network compliance manager / franchisee principals

MEDIUM

RK-06 — Review sentiment declining across the network for 3 consecutive quarters

Rating	Area	Standard / reference	Remediate by
Medium	Brand risk	Network brand standard; franchisor KPIs	Within 30 days

What we found: Average Google review rating across the network has declined from 4.1 to 3.7 over the preceding three quarters. Delivery platform ratings show a similar trend. Qualitative analysis of review text identifies three recurring themes: wait times, order accuracy, and staff attitude. These are operational metrics — the product itself is not the driver of the decline.

Evidence: Sentiment data pull across all 46 network locations; delivery platform data; qualitative text analysis (600 reviews sampled).

Recommended action: Within 30 days: establish a monthly review sentiment dashboard reported to the franchisor support team and shared with franchisees. Identify the 10 lowest-rated locations for targeted operational support. Address wait time and accuracy through operational standard tightening rather than marketing spend — the product quality is not the issue.

Responsible: Network operations manager

SECTION 5 | WHAT'S WORKING WELL

An audit should recognise strength as clearly as it flags risk. The following practices met or exceeded the network standard:

- Product quality consistency across visited sites was strong — the core menu items delivered to specification at 7 of 8 visited locations
- The network's supply chain for all secondary ingredients (condiments, packaging, beverages) is well-diversified with multiple approved suppliers
- New franchisee onboarding documentation and training materials are comprehensive and current
- Three high-performing franchisees demonstrate what excellent network citizenship looks like — their practices are worth codifying and sharing

SECTION 6 | REMEDIATION ROADMAP

Actions are sequenced by risk. Maintain Audits can verify closure of each item through a follow-up desktop review or re-inspection.

ID	Action	Owner	Due
RK-01	Urgent franchisee review; establish financial health monitoring framework	Franchisor CEO / legal	Within 48 hours
RK-02	Allergen incident classification fix (48 hrs); full network allergen audit (30 days)	Food safety manager / franchisees	48 hours / 30 days
RK-03	POS fleet upgrade remediation plan to board	Technology manager / franchisees	Within 30 days
RK-04	Qualify alternate bun supplier; implement buffer stock policy	Supply chain manager	Within 60 days
RK-05	Wage compliance directive; self-audit across all locations	Compliance manager / franchisees	Within 30 days
RK-06	Review sentiment dashboard; targeted support for lowest-rated locations	Operations manager	Within 30 days

SECTION 7 | NEXT STEPS & ONGOING MONITORING

- RK-01 escalation path to be confirmed within 24 hours; Maintain Audits available to support the franchisee review process
- RK-02 allergen protocol briefing confirmation within 48 hours
- Recommend establishing a formal Risk Register with quarterly review cadence — this audit can provide the template
- Full risk re-assessment recommended at 6-month mark to measure closure progress

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